Q&A — AS 9 — Revenue Recognition

> Scope reminder: AS 9 deals with recognition of revenue from **(a) sale of goods, (b) rendering of services, and (c) use by others of enterprise resources yielding interest, royalties and dividends.** It does NOT cover revenue from construction contracts (AS 7), hire-purchase/lease (AS 19), government grants/subsidies (AS 12), and revenue of insurance companies. "Revenue" is **gross inflow of cash, receivables or other consideration arising in the ordinary course** from these three sources; it excludes realised/unrealised gains (e.g., on disposal of fixed assets, forex) which are not "revenue" though they may be income.

Section A — Concept-Check Questions (test the WHY)

A1. Why does AS 9 recognise revenue on sale of goods only when the seller transfers "property in the goods" (or all significant risks and rewards of ownership) AND no significant uncertainty exists on collectability? *Model answer:* Revenue is the reward for completing the earning process. Until significant risks and rewards of ownership pass to the buyer, the seller has not substantially performed and could still be exposed to loss/return; recognising then would overstate performance. The second condition (no significant uncertainty on ultimate collection) reflects **prudence** — an inflow that is not reasonably assured is not "revenue earned". Both conditions protect against premature recognition.

A2. Distinguish "revenue" from "income/gains" under AS 9. *Model answer:* Revenue = gross inflow from ordinary activities (sale of goods, services, interest/royalty/dividend). Gains such as profit on sale of fixed assets, revaluation surplus, or forex fluctuation are **not revenue** even if credited to P&L, because they do not arise from the ordinary revenue-generating activities. AS 9 governs only the three revenue streams.

A3. What is the difference between the "completed service contract method" and the "proportionate completion method"? When is each used? *Model answer:* Under **proportionate completion**, revenue is recognised proportionately as each act/stage is performed over the contract period (used when services are rendered by more than one act). Under **completed service contract**, revenue is recognised only when the sole or final act is completed and the service becomes chargeable (used when service is a single act, or performance is so significant that completion is essential before any revenue is earned). AS 9 permits either where appropriate.

A4. Goods are sold on approval / "sale or return" basis. Why is revenue NOT recognised at despatch? *Model answer:* Because significant risk/reward has not passed — the buyer can return the goods. Revenue is recognised only when the buyer **confirms acceptance** or the return period lapses (whichever earlier). Recognising at despatch would breach the "transfer of significant risks and rewards" condition.

A5. Why does AS 9 require interest to be recognised on a "time proportion basis" and dividends only when the "right to receive is established"? *Model answer:* Interest accrues with the passage of time (it is a function of amount outstanding and rate), so the time-proportion basis matches the economic reality. A dividend is discretionary — it is not earned by mere passage of time but only when the payer **declares** it; thus the investor's right to receive (and hence revenue) arises only on declaration.

A6. When collection of revenue is uncertain, AS 9 gives two possible treatments depending on WHEN the uncertainty arises. Explain. *Model answer:* (i) If uncertainty about collectability exists **at the time of the transaction** (sale itself doubtful of realisation), revenue recognition is **postponed** until reasonable certainty. (ii) If the sale was properly recognised and uncertainty arises **subsequently** (customer later becomes doubtful), revenue is NOT reversed; instead a **separate provision for doubtful debts (charge to P&L)** is made. Recognition already made in good faith is not disturbed.

A7. Under AS 9, are trade discounts and volume rebates part of revenue? *Model answer:* No. Revenue is measured net of **trade discounts and volume rebates**. However, cash/settlement discounts are a financing item and do NOT reduce revenue (they are shown separately as an expense). Excise duty is included in gross turnover (it is part of the cost of production); sales tax/GST collected on behalf of government is **not** revenue of the enterprise.

A8. A magazine publisher receives ₹1,200 for a 12-month subscription in advance. Why can't the whole ₹1,200 be revenue on receipt? *Model answer:* Service (delivery of magazines) is rendered over 12 months by successive acts. Under proportionate completion, revenue accrues ₹100 per month; the balance is **unearned income (liability)**. Recognising the full amount on receipt would violate the matching/earning-process principle.

Section B — Graded Computational / Practical Problems

B1 (Easy) — Net revenue measurement

A trader's transactions for the year: Gross sales ₹50,00,000; Trade discount allowed ₹2,00,000; Cash (settlement) discount ₹40,000; Sales tax/GST collected ₹9,00,000; Sales returns ₹1,00,000. Compute revenue from sale of goods under AS 9.

Solution: | Item | ₹ | |---|---| | Gross sales | 50,00,000 | | Less: Trade discount | (2,00,000) | | Less: Sales returns | (1,00,000) | | Less: GST collected (on behalf of govt.) | (9,00,000) | | **Revenue under AS 9** | **38,00,000** |

Cash discount ₹40,000 is a **separate expense**, not deducted from revenue. GST is excluded as it is collected on behalf of the government (not enterprise's revenue).

B2 (Easy–Moderate) — Interest, royalty, dividend

On 1 Oct 2025 an enterprise invested ₹10,00,000 in 12% debentures. It also holds a patent licensed at a royalty of ₹5 per unit; licensee produced 40,000 units up to 31 Mar 2026. It holds shares in X Ltd which declared a dividend on 20 Mar 2026, received 12 Apr 2026. Year end 31 Mar 2026. Compute revenue.

Solution: - **Interest** (time proportion): ₹10,00,000 × 12% × 6/12 = **₹60,000** (1 Oct–31 Mar). - **Royalty** (accrual as per agreement): 40,000 × ₹5 = **₹2,00,000**. - **Dividend**: right to receive established on **declaration (20 Mar 2026)**, hence recognised in FY 2025-26 even though received in April. Recognise the declared amount. All three recognised in FY 2025-26.

B3 (Moderate) — Sale on approval basis

A company sent goods costing ₹4,00,000 (invoice value ₹5,00,000) to customers on "sale or return" during March 2026. By 31 Mar 2026: customers confirmed goods of invoice value ₹3,00,000; ₹1,20,000 worth were returned; the balance (₹80,000) approval period had not expired at year-end and no confirmation received. All were wrongly recorded as credit sales. Show the correcting entries and revenue.

Solution: - Confirmed sales ₹3,00,000 → correctly revenue. - Returned ₹1,20,000 → reverse sale. - Pending ₹80,000 (approval period open, unconfirmed) → **no sale**; treat as stock with customers. Cost ratio = 4,00,000/5,00,000 = 80%. Cost of pending goods = 80% × 80,000 = ₹64,000.

Correcting entries at 31 Mar 2026:

```
(1) Return Inwards / Sales A/c    Dr  1,20,000
        To Trade Receivables                 1,20,000
    (Reverse goods returned)

(2) Sales A/c                     Dr    80,000
        To Trade Receivables                   80,000
    (Reverse goods sent on approval, not yet confirmed)

(3) Stock with Customers A/c      Dr    64,000
        To Trading A/c (Closing stock)         64,000
    (Bring cost of unapproved goods into inventory)
```

Revenue recognised = ₹3,00,000.

B4 (Moderate–Hard) — Proportionate completion vs completed service

An event-management firm signs a ₹18,00,000 contract to organise a 3-day festival plus 12 months of post-event promotion. Costs: event ₹10,00,000 (incurred fully in the year), promotion ₹2,00,000 spread evenly over 12 months from 1 Jan 2026. Total budgeted cost ₹12,00,000. Year end 31 Mar

2026 (event completed 31 Dec 2025; 3 months' promotion done). Recognise revenue using proportionate completion (cost-to-cost).

Solution: Costs incurred to 31 Mar 2026: - Event: ₹10,00,000 (complete) - Promotion: ₹2,00,000 × 3/12 = ₹50,000 - Total incurred = ₹10,50,000 Percentage complete = 10,50,000 / 12,00,000 = 87.5% **Revenue = 87.5% × ₹18,00,000 = ₹15,75,000.** Profit to date = 15,75,000 − 10,50,000 = ₹5,25,000. Balance revenue ₹2,25,000 recognised over remaining 9 months.

B5 (Hard, exam-level) — Multiple streams + uncertainty + installation

Beta Ltd (year end 31 Mar 2026) reports: 1. Goods invoiced ₹8,00,000 despatched 28 Mar 2026 FOB; buyer bears risk from despatch. Payment awaited but buyer solvent. 2. Machine sold ₹12,00,000 requiring installation (a significant part of the contract); installation completed 5 Apr 2026. 3. Goods worth ₹2,00,000 sold to a customer who has entered liquidation after sale; recovery doubtful. 4. Advance of ₹3,00,000 received for goods to be manufactured and delivered in May 2026. 5. Export incentive of ₹1,50,000 receivable; claim admitted by authority before year-end. Determine revenue for FY 2025-26 with reasons.

Solution: | # | Treatment | Revenue FY25-26 | |---|---|---| | 1 | Risk/reward passed on despatch (FOB); collection reasonably certain → recognise | ₹8,00,000 | | 2 | Installation is a **significant** part; earning process incomplete at year-end → **postpone** (recognise in FY26-27) | Nil | | 3 | Sale validly recognised earlier; uncertainty arose **after** sale → recognise ₹2,00,000 revenue AND create a **provision for doubtful debt ₹2,00,000** (charge to P&L). Revenue NOT reversed | ₹2,00,000 (+ provision) | | 4 | Advance for future goods; risk/reward not transferred → **liability**, not revenue | Nil | | 5 | Export incentive — claim admitted, no significant uncertainty → recognise | ₹1,50,000 | | **Total revenue** | | **₹11,50,000** |

Note: item 3 nets to nil P&L effect but the *revenue* figure still shows ₹2,00,000 (gross), with a matching bad-debt expense.

Section C — Past-Paper-Style Full Questions (ICAI pattern)

C1 (8 marks) — Comprehensive recognition memo

"SunTech Ltd is finalising accounts for the year ended 31 March 2026. As the accountant, advise on revenue recognition under AS 9 for the following, giving reasons and amounts: (a) Sold goods to a customer for ₹6,00,000; the customer has the right to return within 30 days and historically returns ~5%. Sale made 25 March 2026. (b) Rendered consultancy; work 60% complete at year-end; contract value ₹10,00,000; single continuous engagement. (c) Received ₹80,000 interest on fixed deposit for the half-year, plus ₹20,000 accrued for the current quarter not yet received. (d) Declared and received ₹50,000 dividend from a subsidiary on 15 March 2026. (e) Sold goods ₹4,00,000 to a government department; realisation certain but payment expected after 90 days."

Model answer: **(a)** Significant risk/reward has passed (specific goods, right of return is limited and estimable). Recognise full ₹6,00,000 as revenue and provide for expected returns (~5% = ₹30,000) as a provision, since AS 9 permits recognition where returns are reliably estimable and risk substantially transferred. Revenue = **₹6,00,000** (net of provision for returns as prudent estimate). **(b)** Proportionate completion (services over time): 60% × ₹10,00,000 = **₹6,00,000**. Balance ₹4,00,000 deferred. **(c)** Interest accrues on time-proportion basis → recognise both received ₹80,000 and accrued ₹20,000 = **₹1,00,000**. **(d)** Dividend — right to receive established on declaration (15 Mar) → **₹50,000** recognised in FY25-26. **(e)** Risk/reward passed, collection reasonably certain (mere credit period is not "uncertainty") → **₹4,00,000** recognised now; the 90-day delay does not defer revenue.

C2 (5 marks) — Postponement of recognition

"XYZ Ltd sold goods worth ₹15,00,000 during the year. Of these, goods worth ₹3,00,000 were sold to a party whose financial position was doubtful even at the date of sale, and realisation was highly uncertain. The company recognised the entire ₹15,00,000 as revenue. Comment as per AS 9 and give the correct revenue."

Model answer: AS 9 states that when uncertainty about collection exists **at the time of raising the claim**, revenue recognition should be **postponed** to the extent of the uncertainty. Here the ₹3,00,000 sale was doubtful of realisation at the very date of sale, so it should NOT have been recognised; it is recognised only when collection becomes reasonably certain. (Contrast: had the sale been sound and doubt arisen later, revenue would stand and a provision for doubtful debts would be made.) **Correct revenue = ₹15,00,000 − ₹3,00,000 = ₹12,00,000.** The ₹3,00,000 is postponed.

C3 (5 marks) — Disclosure

"State the circumstances in which revenue recognition is postponed and the disclosure required under AS 9."

Model answer: Revenue recognition is **postponed** when at the time of the transaction there is significant uncertainty regarding (i) ultimate collection of the consideration, or (ii) the amount of consideration (e.g., unascertained price escalation), or (iii) the enterprise has not completed the significant act it is bound to perform (e.g., installation being integral). **Disclosure:** In addition to disclosures required by AS 1 (accounting policies), an enterprise should disclose the **circumstances in which revenue recognition has been postponed** pending resolution of significant uncertainties. The accounting policy for recognising revenue (including method used for rendering of services — proportionate completion vs completed service) must be disclosed.

Section D — MCQs / Case Scenarios (with one-line reasoning)

D1. Which is NOT covered by AS 9? (a) Interest income (b) Royalty (c) Revenue from construction contracts (d) Sale of goods. **Ans: (c)** — construction contracts are governed by AS 7, not AS 9.

D2. Dividend from investments is recognised when: (a) received in cash (b) the right to receive payment is established (c) proposed by the board (d) credited to bank. **Ans: (b)** — right to receive is established on **declaration**, not mere proposal or receipt.

D3. Trade discount and volume rebate are: (a) shown as expense (b) deducted to arrive at revenue (c) ignored (d) added to revenue. **Ans: (b)** — revenue is measured net of trade discounts and volume rebates.

D4. Cash (settlement) discount under AS 9 is: (a) deducted from revenue (b) a separate finance/expense item (c) added to revenue (d) not recorded. **Ans: (b)** — it is a financing charge, not a reduction of revenue.

D5. Goods sent on "sale or return"; revenue is recognised when: (a) despatched (b) invoiced (c) buyer confirms acceptance or return period lapses (d) cash received. **Ans: (c)** — risk/reward passes only on acceptance/lapse of approval period.

D6. Interest revenue is recognised on: (a) receipt basis (b) declaration basis (c) time proportion basis considering amount outstanding and rate (d) completion basis. **Ans: (c)** — interest accrues with time.

D7. A sale properly recognised earlier becomes doubtful of recovery later. Correct treatment: (a) reverse the revenue (b) recognise revenue and create provision for doubtful debts (c) postpone revenue (d) ignore. **Ans: (b)** — subsequent uncertainty is met by a provision, not reversal.

D8. Revenue from services rendered by a single act is best recognised under: (a) proportionate completion method (b) completed service contract method (c) cash basis (d) installment method. **Ans: (b)** — a single/sole act is complete only when performed.

D9. Excise duty and GST in turnover: (a) both excluded (b) both included (c) excise included in gross turnover, GST excluded as collected for government (d) both added to revenue as income. **Ans: (c)** — excise is part of production cost/gross turnover; GST is collected on behalf of government and is not enterprise revenue.

D10 (Scenario). Alpha Ltd sells a machine for ₹20,00,000 that requires installation forming a **significant** part of the contract; installation is pending at year-end. Revenue to recognise now: (a) ₹20,00,000 (b) Nil until installation complete (c) 50% (d) only the machine's cost. **Ans: (b)** — where installation is significant, the earning process is incomplete; recognition is postponed to installation.

D11 (Scenario). Beta Ltd receives ₹1,20,000 on 1 Jan 2026 for a 1-year annual maintenance contract (services over the year). Revenue for the year ended 31 Mar 2026: (a) ₹1,20,000 (b) ₹30,000 (c) Nil (d) ₹90,000. **Ans: (b)** — proportionate completion: ₹1,20,000 × 3/12 = ₹30,000; balance is unearned income.

D12. Which does NOT constitute "revenue" under AS 9? (a) Sale of scrap in ordinary course (b) Royalty earned (c) Profit on sale of fixed asset (d) Service fees. **Ans: (c)** — profit on sale of a fixed asset is a gain, not revenue from ordinary revenue-generating activities.

D13 (Scenario). Goods despatched FOB on 30 Mar 2026; buyer bears all risk from despatch; invoice ₹5,00,000; solvent buyer; cash due in April. Revenue in FY25-26: (a) Nil (b) ₹5,00,000 (c) recognise in

April on receipt (d) 50%. **Ans: (b)** — risk/reward passed on despatch and collection is certain; credit period is irrelevant.

D14. Additional disclosure specifically required by AS 9 is: (a) segment revenue (b) circumstances in which revenue recognition has been postponed (c) related-party sales (d) deferred tax on revenue. **Ans: (b)** — AS 9 requires disclosure of postponement of revenue recognition pending resolution of significant uncertainties.

D15 (Scenario). Installation fees where installation is **incidental** to the sale of goods are recognised: (a) separately over time (b) only when installation complete (c) as revenue when the goods sale is recognised (d) never. **Ans: (c)** — when installation is incidental/insignificant, it is not a separate earning event; recognise with the goods sale.

One-page trap recap

1. Cash discount ≠ deducted from revenue (it's an expense). Trade discount/rebate **is** netted.
2. Dividend on **declaration**, interest on **time**, royalty on **accrual** per agreement.
3. Uncertainty **at sale** → postpone; uncertainty **after sale** → provision (don't reverse).
4. Significant installation/act pending → postpone; incidental → recognise with sale.
5. Gains (fixed asset sale, forex, revaluation) are NOT AS 9 revenue.
6. GST collected for government is excluded from revenue.